



FIGURE 3.4 Buying positive breakout in rough rice.

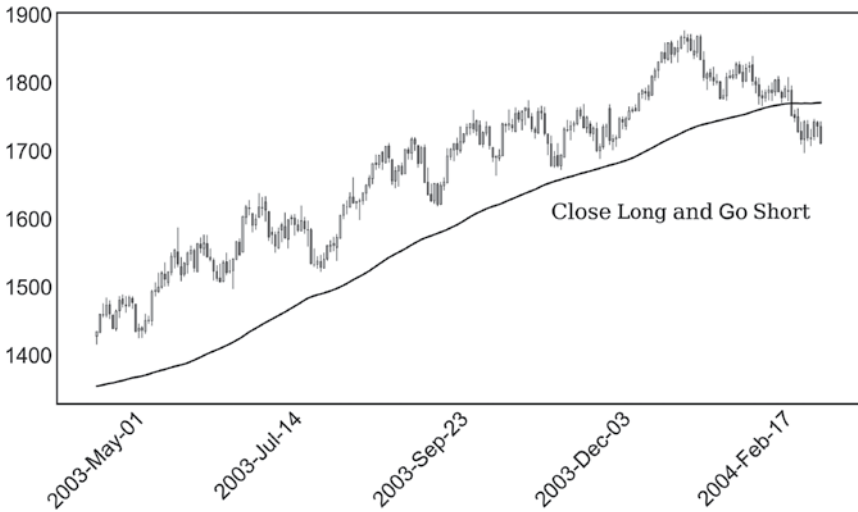


FIGURE 3.5 Reversing position on moving average cross in the Nasdaq.

As stated, entry rules are the least important part of a trading strategy and accordingly you should spend the least amount of time on them. That does not mean they are irrelevant and should be skipped over, but the other components are very much more important to your actual trading results over time.

Often a filter rule accompanies the trending rules, making sure that buys only occur when the market is in a bullish phase and vice versa for shorts. Many trend followers would want to avoid accidentally going against a